

MGT101 SHORT NOTES

THEME 10 TO 18

BY VUONLINEHELP.BLOGSPOT.COM

Elone MUSK

CHAPTER - 10 ACCOUNTING FOR FIXED ASSETS AND DEPRECIATION

Property Plant and Equipment

may be short and long

- These are assets that will be used over a period of time (in excess of one year)
- These are not held for re-sale in the normal course of trading
- These may be held for:
 - Production of goods or services
 - Selling of goods or services
 - Administrative purposes
 - Rental to others

Recognition Criteria

- Cost can be measured reliably
- Probability of inflow of economic benefits in future

Measurement at Recognition

- Purchased, constructed or manufactured assets are initially measured at cost
- Exchanged assets are initially measured at fair value, unless:
 - The exchange transaction lacks commercial substance or
 - Fair value cannot be determined, in these circumstances; carrying amount of the asset given up will be the value of the asset taken in exchange.

Measurement after Recognition

After once recognized the items of property, plant and equipment are measured at either of the two models:

- Cost model
- Revaluation model (not in syllabus)

Cost Components

- Purchase price less trade discounts and rebates
- Import duties
- Non-refundable purchase taxes
- Directly attributable cost
- Estimated cost of dismantling, removal and site restoration

Depreciation & Depreciable Amount

Depreciation is the systematic allocation of the depreciable amount of an asset over its useful life. Depreciable amount is the cost of an asset, or other amount substituted for cost, less its residual value

Useful Life

- Period over which an asset is expected to be used; or
- Number of production units expected to be obtained from the asset

Depreciation rate is determined based on useful life and residual value of the asset.

Accounting for Fixed Assets

What are fixed assets? Fixed assets—also known as tangible assets or property, plant, and equipment (PP&E) is an accounting term for assets and property that cannot be easily converted into cash. The word fixed indicates that these assets will not be used up, consumed, or sold in the current accounting year.

Depreciation Methods and Depreciation Rates

Depreciation Methods

- Straight line method

- Reducing balance method
- Sum of years digit method
- Number of units output method
- Number of service hours method

Basic Accounting for Depreciation

Fixed Asset	Depreciation Expense	Profit & Loss
Cash/Bank/Creditor	Provision for Depreciation	Depreciation Expense
(Purchase of Fixed Asset)	(Depreciation expense FTY)	(Closing entry for expense)

Depreciation – Accounting Entries

1. Asset Disposal

Fixed Asset

(Asset transferred to asset disposal account, with the amount of gross carrying amount / cost of asset)

2. Provision for Depreciation

Asset Disposal

(Accumulated depreciation balance till the date of disposal transferred to asset disposal account)

3. Bank

Asset Disposal

(Disposal Consideration / sales proceeds received on disposal of the asset)

4. Gain/Loss – on Disposal

a) Asset Disposal

Income Statement

(Profit/Gain on disposal of asset transferred to income statement for the period)

b) Income Statement

Asset Disposal

(Loss on disposal of asset transferred to income statement for the period)

Exchange of Asset

Long

Exchange of Asset – Trade-in-Allowance

When an old asset is exchanged with a new asset the seller of new asset will offer an allowance while receiving payment for selling asset in consideration of the exchange of old asset. Such allowance is known as “trade in allowance”. The buyer will subtract “trade in allowance” from the cost of new asset while making payment to the seller.

Cost of new asset = Cash consideration + Trade in allowance.

Cost of new asset – trade in allowance = Cash consideration

Asset account will be debited with the cost of new asset i.e., cash paid plus trade in allowance. Trade in allowance is considered as disposal proceeds of the old asset.

Exchange of Asset – Commercial Substance

When an asset is exchanged with another asset and commercial substance does not exist in such exchange, the cost of asset taken through exchange is carrying amount of asset given up.

But when the commercial substance does exist, then cost of asset taken through exchange would be fair value of asset given up.

When fair value of both assets is not determinable the carrying amount of asset given up would be considered as cost of asset taken through exchange.

Existence of commercial substance means; that the entity specific values (present value of future expected cash flows) of both assets are not equal.

Fair value

Fair value is the price that **would be received to sell an asset** in an orderly transaction between market participants at the measurement date

Elone Musk

CHAPTER – 11 CONTROL ACCOUNTS Accounting for Receivables and Payables

Why Control Accounts are maintained

Control Account is a simple ledger account that represents numerous ledger accounts of similar nature.

Examples include:

1. Trade receivables
2. Trade payables
3. Payroll
4. Inventories

Debtors' Control Account

Format

- Sales Ledger Control Account
- Total Debtors Control Account
- Sundry Debtors Control Account
- Trade Receivables Control Account

Debtors' Control A/C Trade Receivable Control A/C

<i>Opening Dr. Balance b/f</i>		<i>Opening Cr. Balance b/f</i>	
Credit sales (Invoice issued)		Cash received from debtors	
Refund to debtors		Cheques received from debtors	
Cheques dishonoured		Bills receivable accepted by debtors	
Bills receivable dishonoured		Discount allowed	
Interest charged to debtors		Bad debts	
		Sales return (Credit note issued)	
		Contra / set off / balance transferred	
<i>Closing Cr. Balance c/f</i>	_____	<i>Closing Dr. balance c/f</i>	_____
	=====		=====

Debtors Control Account	
Opening Dr Balance	Opening Cr Balance (unusual)
Closing Cr Balance (unusual)	Closing Dr Balance

Cr balance in Debtors account might arise because of cash received in advance from customers

Creditors Control Accounts

- Purchase Ledger Control Account
- Total Creditors Control Account
- Sundry Creditors Control Account
- Trade Payables Control Account

Format

Creditors Control A/C Trade Payable Control A/C

<i>Opening Dr. Balance b/f</i> Cash paid to creditors Cheques paid to creditors Bills payable given to creditors Discount received Purchases return (Credit note received) Contra / set off / balance transferred <i>Closing Cr. Balance c/f</i>	<i>Opening Cr. Balance b/f</i> Credit purchases (Invoice received) Bills payable dishonoured Interest payable <i>Closing Dr. balance c/f</i>
_____	_____
=====	=====

Creditors Control Account	
Opening Dr Balance (unusual)	Opening Cr Balance
Closing Cr Balance	Closing Dr Balance (unusual)

Dr Balance in Creditors account might arise because of cash paid in advance to suppliers

Contra Entries

- Contra entry appears in Debtors as well as in Creditors

- Contra entry behaves opposite to the nature of the account

Scenario – Contra Entry

In case Mohsin is Debtor with Rs.700 and Mohsin is also a Creditor with Rs 1,000, the contra entry would remain the same but the amount would then be Rs. 700 the lower one:

Creditors Control (Mohsin) Dr. 700

Debtors Control (Mohsin) Cr 700

Posting from General Journal

The process of picking up amount from journal and placing into the debit or credit side of relevant ledger account in ledger is known as posting. This process of posting is executed very technically by following the principles of double entry book keeping. Following section will illustrate the process of posting from journal into ledger.

Names of Accounting Records that cause confusion

Sales journal/daybook	Book of original entry for credit sales
Sales ledger	Subsidiary ledger - a book for debtors
Sales ledger control a/c	Debtors control a/c in main ledger
Sales account	Sales income a/c in main ledger
Purchase journal/daybook	Book of original entry for credit purchases
Purchase ledger	Subsidiary ledger - a book for creditors
Purchase ledger control a/c	Creditor control a/c in main ledger
Purchase account	Purchase expense a/c in main ledger

Control Account Reconciliation

Any difference arising between the balance as per control account and total of the list must be investigated and correction made.

This may involve adjustments:

- a) to the control account; and/or
- b) to the list of balances as per subsidiary ledgers

Reasons and Amendments

	Reasons of difference	Amendments
I	<u>Books of Original Entries</u> a. Recording error b. Casting error	Control a/c and List Control a/c only
II	<u>Control Accounts – Main Ledger</u> a. Posting error b. Casting error	Control a/c only Control a/c only
III	<u>Individual Accounts – Sub Ledger</u> a. Posting error b. Casting error	List only List only
IV	<u>List of Balances</u> a. Listing error b. Casting error	List only List only

Posting from sales journal into main ledger

The process of posting from sales journal is similar to the process we discussed for posting from purchase journal. Here in the case of sales journal the two accounting heads are:

- 1) Sales account and
- 2) sundry/total debtors account. All transactions recorded in the sales journal are of similar nature therefore; only the sum of sales journal is posted in the credit side of “Sales Account” and the debit side of “Sundry/Total Debtors Account”

CHAPTER- 12 RECTIFICATIONS OF ERRORS

RECTIFICATIONS OF ERRORS

Rectification of errors is referred to as the **procedure of revising mistakes made in recording transactions**. These mistakes can occur while posting entries to ledger accounts, classifying accounts, carrying balance forward, etc.

Types of Errors

1. Those errors that do not cause a difference in trial balance agreement
2. Those errors that do cause a difference in trial balance agreement

Errors & Rectification

a) Error of Omission

When financial information is completely omitted from recording in the books of original entry.

For example: sales invoice of Rs.1,000 issued before closing date but not recorded in the books of original entry.

Rectifying Entry

Debtors a/c Dr.	1,000
Sales a/c Cr.	1,000

b) Error of Commission

When correct accounting effect (Dr/Cr) is given in the wrong accounting head but the main head remains correct

For example: Purchase of computer Rs.5,000 for office was wrongly debited to the furniture account. (both accounts belong to the same main head; Assets)

This error will have no effect (positive or negative) on financial position as well as financial performance.

Rectifying Entry

Computer a/c Dr	5,000
Furniture a/c Cr	5,000

c) Error of Principle

When correct accounting effect (Dr/Cr) is given in the wrong accounting head as well as the wrong main head. For example: Purchase of computer Rs.5,000 for office was wrongly debited to the stationery account.

This type of error will cause a difference in financial performance (net profit) and/or financial position (Asset = Owners' equity + Liability)

Error of principle occurs because of wrong decision about capital and revenue nature at the time of recognizing accounting heads.

Rectifying Entry

Computer a/c Dr.	5,000
Stationery a/c Cr.	5,000

d) Error of Original Entry

When correct accounting entry is recorded in the books of accounts but the amount in both accounting effect (Dr & Cr) is wrong although the amount is same.

For example: Debtors to be written off for Rs. 250 as bad debts were recorded in the correct accounts but the amount was posted in both accounts was Rs. 520, causing a difference of Rs. 270 in both sides.

It is also known as transposition error.

Rectifying Entry

Debtors a/c Dr.	270
Bad Debts a/c Cr.	270

e) Compensating Error

When the sum of more than one errors cancels the accounting effect of each other.

For example: Sales were less credited with Rs. 260 and at the same time opening balance of capital account was brought forward with an amount that is Rs. 200 more than the correct amount and Rent expense owing of Rs. 60 was although credited to rent payable account but was not debited to the rent expense.

Rectifying Entry

Capital a/c Dr	200
Rent expense a/c Dr	60
Sales a/c Cr	260

Errors that do cause a difference in Trial Balance

Difference in both sides of trial balance is temporarily transferred to “Suspense a/c”.

Difference in Trial Balance

Particulars	Dr. (Rs)	Particulars	Cr. (Rs)
Assets	65,000	Capital	40,000
Expenses	13,000	Sales	100,000
Purchases	80,000	Liabilities	25,000
Drawings	2,500	Provisions	3,000
	160,500		168,000

Suspense Account

Particulars	Dr. (Rs)	Particulars	Cr. (Rs)
Assets	65,000	Capital	40,000
Expenses	13,000	Sales	100,000
Purchases	80,000	Liabilities	25,000
Drawings	2,500	Provisions	3,000
Suspense	7,500		
	168,000		168,000

Reasons for Difference in Trial Balance

a) Under or Over Casting of a Ledger Account			
Sales account (income) was over-cast by Rs. 200	Sales a/c Dr	200	
	Suspense a/c Cr		200
Sales account (income) was under-cast by Rs. 500	Suspense a/c Dr	500	
	Sales a/c Cr		500

It will only affect the Trial Balance agreement

b)	Omission of a balance from Trial Balance		
Balance of bad debts account Rs. 700 (already correctly accounted for) is not appearing in the trial balance.	Bad Debts a/c Dr	700	
	Suspense a/c Cr	700	

It will only affect the Trial Balance agreement

c)	Balance representing an account appearing in trial balance with less or excess (wrong) amount.		
Building a/c balance c/f was Rs. 700,000 but erroneously appearing in the Trial Balance as Rs. 70,000	Building a/c Dr	630,000	
	Suspense a/c Cr	630,000	

It will only affect the Trial Balance agreement

d)	An account was given debit effect instead of credit effect		
Sales of Rs. 800 on credit was correctly debited in Debtors a/c but was also debited to sales a/c mistakenly.	Suspense a/c Dr	1,600	
	Sales a/c Cr	1,600	

Causing difference with double amount

e)	A ledger account was given credit effect instead of debit effect		
Sales of Rs. 800 on credit was correctly credited in Sales a/c but was also credited in debtors' a/c mistakenly.	Debtors a/c Dr	1,600	
	Suspense a/c Cr	1,600	

Causing difference with double amount

f)	Single accounting effect, either Dr or Cr was recorded/posted in the books of account		
Sales of Rs. 800 on credit was posted in Sales a/c only	Debtors a/c Dr	800	
	Suspense a/c Cr	800	

Causing difference with single amount

g)	One of the accounting effects was recorded with wrong amount		
Sales of Rs. 800 on credit was correctly credited in Sales a/c but was wrongly debited to debtors' a/c with Rs. 80 only		Debtors a/c Dr	720
		Suspense a/c Cr	720

Causing difference with single amount

Rectification of Errors

- **Calculation of Adjusted Working Capital**
Current Assets and Current Liabilities are known as Working Capital Items. Dr. Effect to working capital items causes increase in the working capital. Cr. effect to working capital items causes decrease in working capital.
- **Concept of Capital and Revenue Expenditure / Receipts**
Capital and Revenue Expenditure / Receipts should be correctly recognized in the appropriate accounting heads.

Concept of Capital and Revenue

- **Capital expenditure** – Asset
- **Revenue expenditure** – Expense
- **Capital receipt** – Liability or Owners' Equity
- **Revenue receipt** – Income

	Expenditure		Receipts	
	Capital	Revenue	Capital	Revenue
Purchase of car	★			
Repair of car		★		
Purchase of computer	★			
Installation of software	★			
Purchase of USB for data transfer		★		
Receipt of Loan from bank			★	
Receipt of service fee				★
Construction of store room	★			
Rent of store room		★		
Wages for machine operator		★		

CHAPTER – 13 FINAL ACCOUNTS WITH ADJUSTMENTS

Preparation of Final Accounts for Sole Proprietors

1. Income statement (Statement of profit or loss and other comprehensive income)

$$\text{Incomes} - \text{Expenses} = \text{Profit}$$

2. Balance sheet (Statement of financial position)

$$\text{Assets} = \text{Owners equity} + \text{Liabilities}$$

Technique to Prepare Final Accounts

Short

- Read trial balance very carefully
- Identify the nature of accounting head correctly and mark A-E-I-L-O
- Pass journal entries for adjustment.
- Place adjusted balances in the appropriate part of income statement and balance sheet

Important Tips

1. Items appearing in TB have single effects in Final Accounts
2. Except for the following heads all other heads appearing in TB reveal closing balance:
 - a) Owner's Capital
 - b) Provision for Depreciation
 - c) Provision for Doubtful Debts
 - d) Opening Stock

CHAPTER - 14 MANUFACTURING ACCOUNT

Long

Reporting Requirements of Manufacturing Entity Manufacturing Accounts

1. Manufacturing account
2. Trading account
3. Profit & Loss account
4. Cost per unit of production

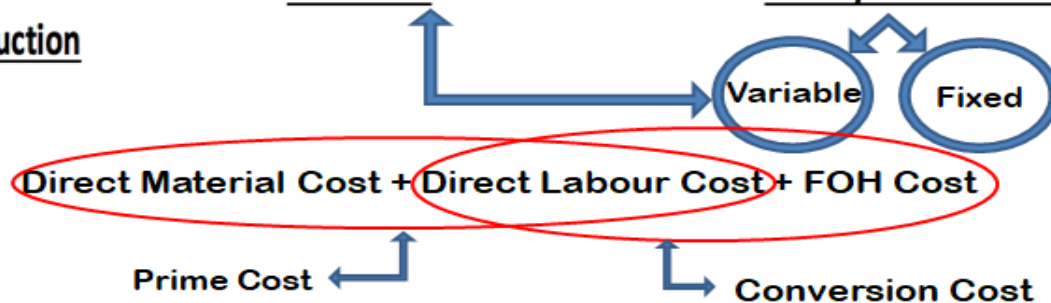
Manufacturing Accounts

A manufacturing account shows the cost of running and maintaining the factory. It is prepared to calculate the cost of goods produced during the year and it is also known as the production account. Cost of production includes direct cost and indirect cost.

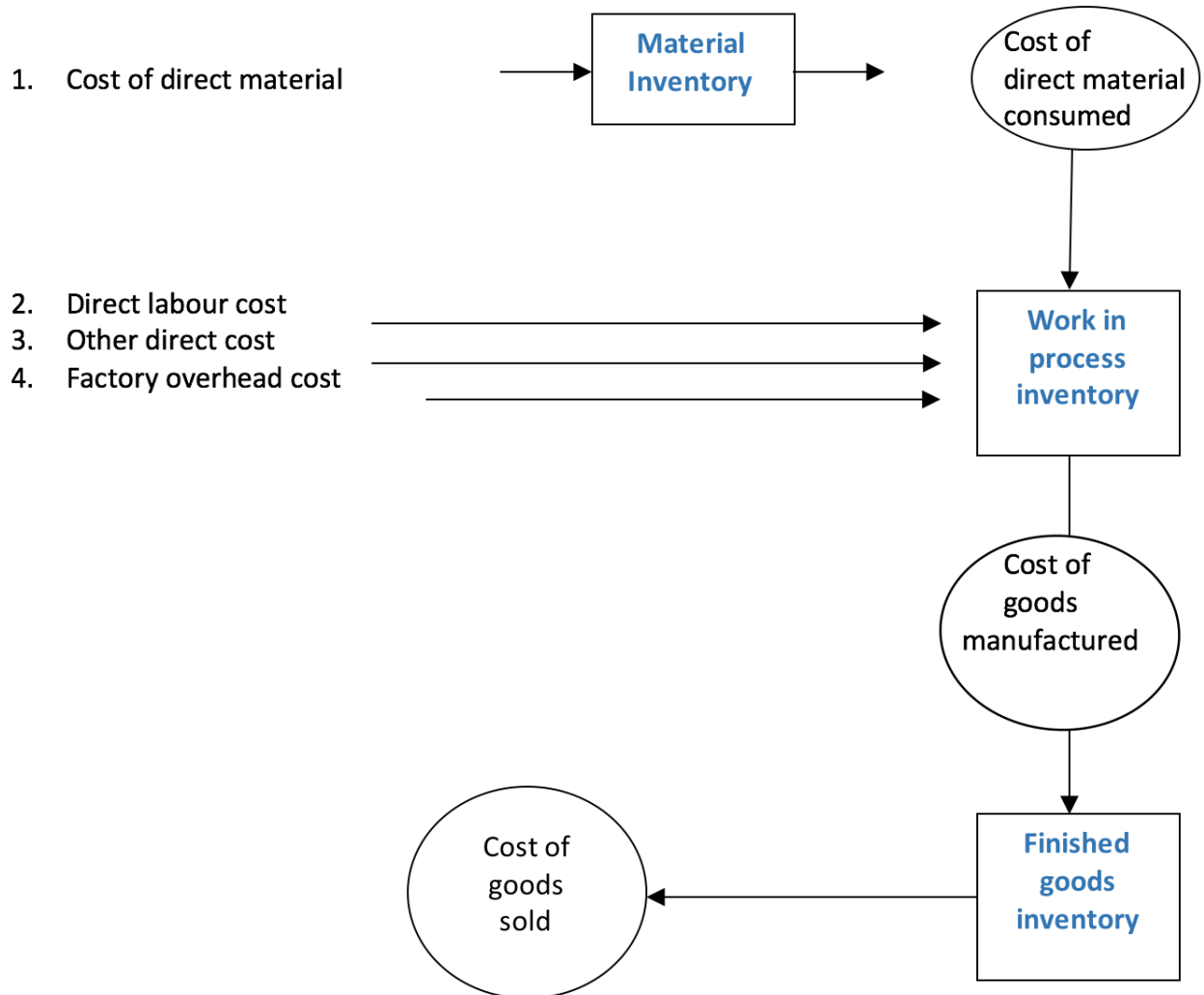
Cost Elements

1. Material
2. Labour
3. Factory Overhead

Material cost	=	Direct material cost	+	Indirect material cost
+		+		+
Labour cost	=	Direct labour cost	+	Indirect labour cost
+		+		+
Other costs	=	other Direct costs	+	other Indirect cost
<u>Total cost of production</u>	=	<u>Prime cost</u>	+	<u>Factory overhead cost</u>



Manufacturing Cycle



Types of Inventories Manufacturing Accounts

Types of Inventories

1. Material and Supplies

- a) Direct Supplies (Raw Material)
- b) Indirect Supplies
- c) Office Supplies
- d) Shipping Supplies

2. Work in Process

3. Finished Goods

Format of Financial Statements of Manufacturing Entities

Sample Company
Manufacturing Account
For the year ended 31st. December 20X9

	Rs.	Rs.	Rs.
Direct material consumed			
Opening inventory		***	
Purchases of raw material	***		
Returns outwards	(**)		
Carriage inwards	***		
Other receiving and handling cost of material	***	***	
Closing inventory		(**)	***
Direct labour			***
Other Direct cost			***
Prime cost			***

Format – Trading Account

Sample Company
Trading account
For the year ended 31st. December 20X9

	Rs.	Rs.
Sales	***	
Returns inwards	(**)	***
Cost of goods sold		
Opening finished goods inventory	***	
Cost of goods manufactured	***	
Closing finished goods inventory	(**)	(**)
Gross profit		***

Important Tips To Remember - ITTR

1. **Work in process inventory is also known as semi-finished goods inventory**
2. **If closing inventories are appearing in the trial balance then don't subtract closing inventories for calculating cost of consumption or cost of goods manufactured**

Elone Musk

CHAPTER - 15 ACCOUNTING FOR INVENTORIES

Important Definitions as per IAS 2

Inventories are assets, held:

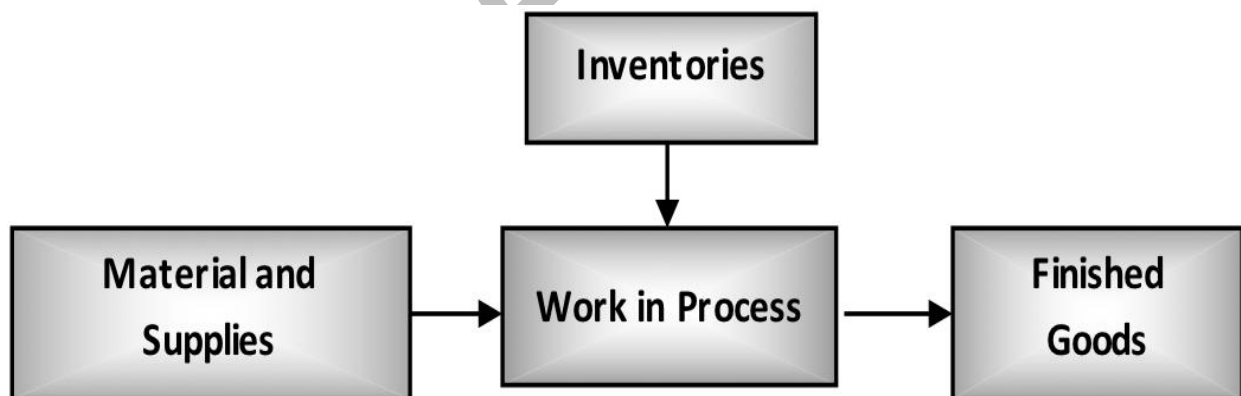
- a) for sale in the ordinary course of business;
- b) in the process of production for such sale; or
- c) In the form of materials or supplies to be consumed in the production process or in the rendering of services.

Net realizable value is the estimated selling price in the ordinary course of business less the estimated costs of completion and the estimated costs necessary to make such sale.

Classification and Valuation of Inventories

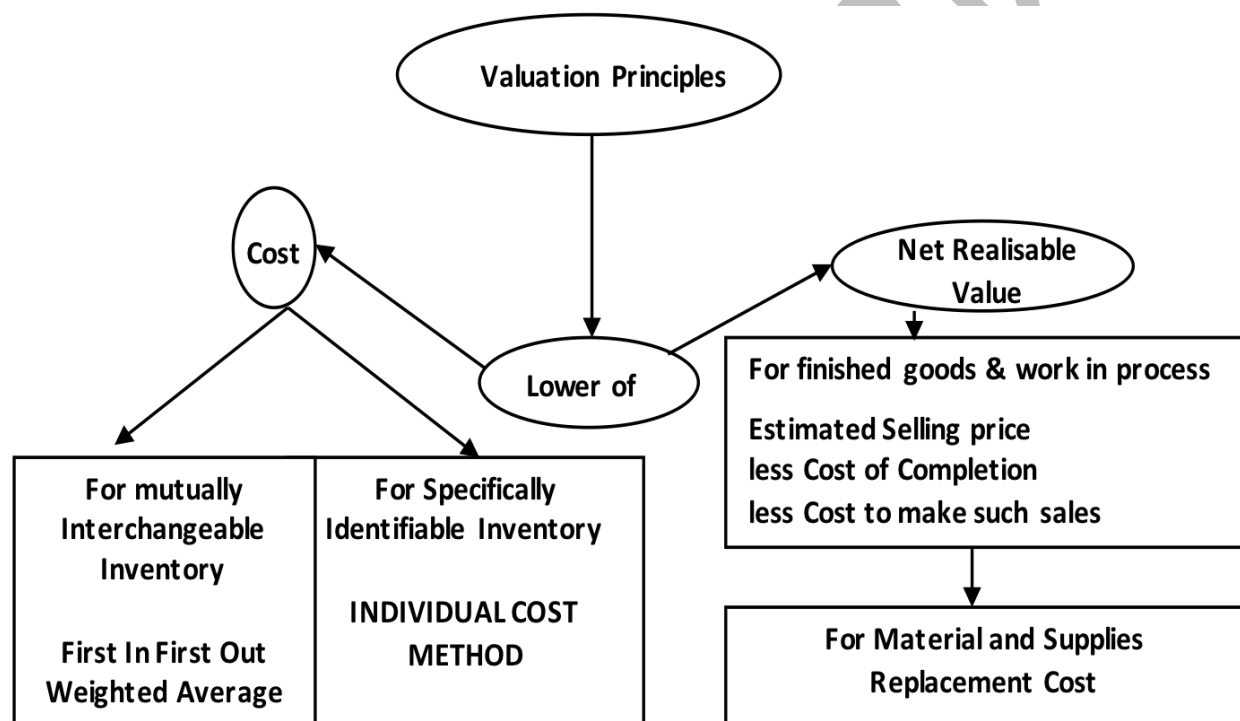
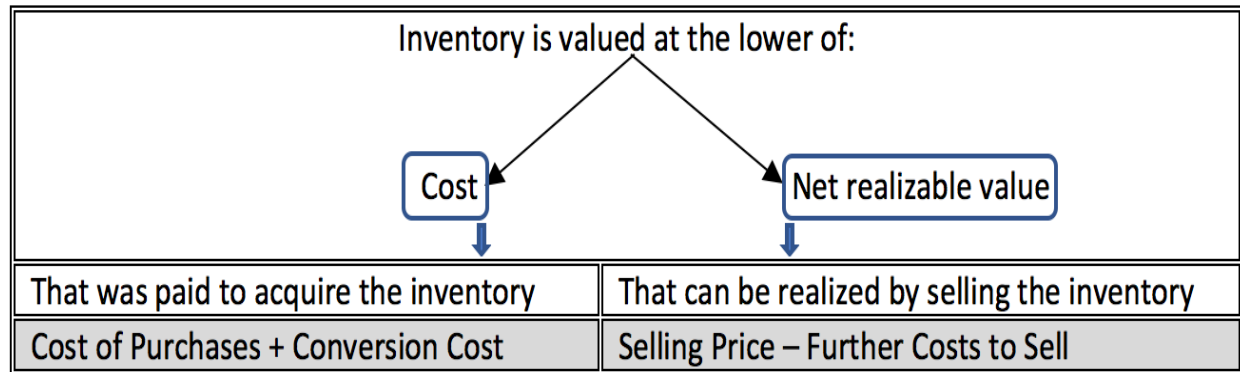
Classification

According to the traditional approach, accounts are classified into three types: real accounts, nominal accounts, and personal accounts.



Valuation of Inventories

Inventories are valued at lower of cost and net realizable value, on item-by-item basis or group basis.



Components of the Cost of Inventory

Cost of inventories comprises of:

1. Costs of purchase
2. Cost of conversion and
3. Other costs incurred in bringing the inventories to their present location and condition

Not included in the cost of inventories

1. abnormal production costs

2. storage costs, unless those costs are necessary in the production process
3. administrative overheads and selling costs

Allocation of Fixed and Variable Overhead

- Allocation of fixed production overheads to the costs of inventories is based on normal capacity of the production facilities.;
- The actual level of production may be used if it approximates normal capacity;
- In periods of abnormally high production, allocate fixed production overheads on actual level
- Variable production overheads are allocated to each unit of production on the basis of the actual use of the production facilities.

Accounting systems to record inventories

1. Perpetual System
2. Periodic System

Perpetual System – Entries

Purchase of inventory (Purchase is recognized as Asset)

Inventory Purchase A/c Dr

Bank a/c or Creditors A/c Cr

Issue/Use/Sale of inventory

Consumption Cost A/c Dr

Or

Cost of Goods Sold A/c Dr

Inventory Purchases A/c Cr

Periodic System - Entries

Purchase A/c	Dr
Bank a/c or Creditors A/c	Cr

No accounting entry is passed to record such issue in the books of account

Cost of Goods Sold A/c	Dr
Opening Inventory A/c	Cr
Purchases A/c	Cr

Closing Inventory A/c	Dr
Cost of Goods Sold A/c	Cr

Loss	Perpetual System	Periodic System
Abnormal Loss	Abnormal Loss Inventory A/c.	Abnormal Loss Purchase A/c.
Normal Loss	Cost of goods sold Inventory A/c.	No accounting entry is required

Accounting for Inventories Problem of Stock Taking

Problem of Stock Taking

1. **Stock count takes place on a later date**
2. **Stock count takes place on an earlier date**

Stock Count on Later Date

Start with the value of inventory on that later date

Add: Sales (at cost) between the two dates

Add: Purchase returns between the two dates

Add: Inventory lost because of any reason between the two dates

Less: Purchases between the two dates

Less: Sales returns (at cost price) between the two dates

Do nothing:

Inventory bought before closing date but still in transit (not yet received)

Stock Count on Earlier Date

Start with the value of inventory on that earlier date

Less: Sales (at cost) between the two dates

Less: Purchase returns between the two dates

Less: Inventory lost because of any reason between the two dates

Add: Purchases between the two dates

Add: Sales returns (at cost price) between the two dates

Recognition of Inventory as Expense

1. **The inventories have been sold to customers**
2. **The amount of any write-down of inventories to net realizable value**
3. **All losses of inventories due to theft or fire etc.**

CHAPTER - 16 ACCOUNTING FOR PARTNERSHIP FIRMS

Reporting Difference between Sole Proprietorship and Partnership Entities

The only Difference Profit Distribution Statement and Profit and Loss Appropriation Account.

Profit Distribution Basis

Basis for distribution	Facts and Reasons
Interest on Capital	Difference in amount of contributed capital
Partner's Salary	Difference in services performed
Profit sharing ratio	Difference in experience and personal contacts

Interest on drawings

Before applying profit sharing ratio, adjustment for interest on drawings is made based on the reason that; had the drawings not been made by the partners the firm would have earned more profits.

Profit Distribution Statement

The dispensing of profits amongst partners of a partnership, members of a Limited Liability Company, or employees in a company, as per terms outlined in a profit-sharing agreement.

➤ Calculation of Interest on Capital

Interest on capital is calculated on the effective capital balances at an agreed rate of interest

➤ Calculation of Interest on Drawings

Interest on drawings is calculated on the effective drawings balances at an agreed rate of interest

Change in Constitution of Partnership Firm

Partnership Constitution is also known as Partnership Deed

Following changes can happen:

1. Admission of a new partner
2. Retirement of an existing partner
3. Death of a partner

Admission of a new Partner

1. Calculation of new profit sharing ratio
2. Calculation and accounting treatment of goodwill
3. Revaluation of net assets

Calculation of New Profit Sharing Ratio

Basic Data:

Old Ratio A : B

3 : 2

C is admitted for $\frac{1}{6}$ th share in profits

Scenario I

A and B will continue sharing in old ratio

$$\text{A and B's Share} = 1 - \frac{1}{6} = \frac{5}{6}$$

$$\text{A} = \frac{5}{6} \times \frac{3}{5} = \frac{3}{6}$$

$$\text{B} = \frac{5}{6} \times \frac{2}{5} = \frac{2}{6}$$

$$\text{C} = \frac{1}{6} = \frac{1}{6}$$

$$\text{New Ratio of A, B and C} = 3 : 2 : 1$$

Scenario II

A and B will share equally after C's admission

$$\begin{array}{lclclcl} \text{A} & = & \frac{5}{6} \times \frac{1}{2} & = & \frac{5}{12} \\ \text{B} & = & \frac{5}{6} \times \frac{1}{2} & = & \frac{5}{12} \\ \text{C} & = & \frac{1}{6} \times \frac{2}{2} & = & \frac{2}{12} \end{array}$$

$$\text{New ratio of A, B and C} = 5 : 5 : 2$$

Scenario III

C will buy his share half from A and half from B

$$\begin{array}{lclclcl} \text{Profit of C's Share} & = & \frac{1}{6} \times \frac{1}{2} & = & \frac{1}{12} \\ \text{A} & = & \frac{3}{5} - \frac{1}{12} & = & \frac{31}{60} \text{ (through LCM)} \\ \text{B} & = & \frac{2}{5} - \frac{1}{12} & = & \frac{19}{60} \text{ (through LCM)} \\ \text{C} & = & \frac{1}{12} + \frac{1}{12} & = & \frac{2}{12} \times \frac{5}{5} = \frac{10}{60} \end{array}$$

$$\text{New ratio of A, B and C} = 31 : 19 : 10$$

Readjustment of Capital Balances of Partners in New Profit Sharing Ratio

Partners' capital balances are readjusted in their new profit sharing ratio.

Bases:

1. Capital balances of the old partners
2. Capital introduced by the new partner
3. Total capital balance of the firm after admission of new partner

Calculation of Sacrificing and Gaining Ratio

Basic Data:

Old Ratio A: B

3: 2

New Ratio A: B: C

5: 5: 2

Sacrificing and Gaining Ratio = (New – Old)

$A = 5/12 - 3/5 = -11$ A is sacrificing 11 times

$B = 5/12 - 2/5 = +01$ B is gaining 1 time

Sum of these = -10

Sacrificing and Gaining Ratio A : B

-11/10: 1/10

Valuation of Goodwill

1. Goodwill is aggregate of those intangible attributes of a business that contribute to the superior earning capacity of the business.
2. Goodwill is the outcome of an impression created in the mind of each customer and related persons.

Goodwill

Goodwill – Calculation Methods

1. Average profit
2. Super profit
3. Market capitalization

Accounting Treatment for Goodwill

Goodwill Premium is the amount contributed by new coming partner in addition to the amount invested as capital. Goodwill Premium is treated in the books of accounts in different ways.

Goodwill – Scenarios

1. Goodwill Raised and Retained as Asset
2. Goodwill Raised and Written-off
3. Cash Brought-in for Goodwill Premium
4. Cash Brought-in for Goodwill Premium and then Withdrawn

Important Tips To Remember - ITTR

1. The amount that incoming partner pays for goodwill is known as premium for goodwill
2. It is incoming partner's share in Firm's Goodwill

Scenario I Goodwill raised and retained as Asset

The new partner does not bring cash for goodwill premium

Goodwill is raised in the books of accounts at its full value

Goodwill calculated = Rs.135,000

Profit sharing ratio of partners A & B = 3 : 2

Journal Entry

	Rs.	Rs.
Goodwill A/c	135,000	
A's capital A/c		81,000
B's capital A/c		54,000

Working

A's share = $135,000 \times \frac{3}{5} = 81,000$

B's share = $135,000 \times \frac{2}{5} = 54,000$

Scenario II Goodwill raised and Written Off

The new partner does not bring cash for goodwill premium

Partners decide that Goodwill should not appear as Asset

Goodwill calculated = Rs.135,000

Profit sharing ratio A & B = 3 : 2 (New ratio A:B:C = 3:2:1)

Journal Entry

	Rs.	Rs.
Goodwill A/c	135,000	
A's capital A/c		81,000
B's capital A/c		54,000

Working

A's share = $135,000 \times \frac{3}{5} = 81,000$

B's share = $135,000 \times \frac{2}{5} = 54,000$

Scenario III Cash brought in for Goodwill Premium

All the old partners sacrifice their profit sharing

Few partners do sacrifice but few partners gain profit sharing

The new partner brings cash for goodwill premium

Goodwill calculated = Rs.135, 000

Old profit sharing ratio A: B = 3:2

New profit sharing ratio A: B: C = 3:2:1

Goodwill Premium = $135,000 \times \frac{1}{6} = 22,500$

Sacrificing and Gaining Ration = (New – Old)

A = $\frac{3}{6} - \frac{3}{5} = -3$ A is sacrificing 3 times

$B = 2/6 - 2/5 = -2$ B is sacrificing 2 times

Sum of these = -5

Sacrificing and Gaining Ratio A : B

-3/5: -2/5

Scenario IV Cash brought in for Goodwill Premium and Withdrawn

Journal Entries

	Rs.	Rs.
--	-----	-----

Cash brought in the business for Goodwill Premium

Bank A/c.	22,500	
-----------	--------	--

Goodwill premium A/c.		22,500
-----------------------	--	--------

Distribution of Goodwill Premium in Sacrificing Ratio

Goodwill premium A/c.	22,500	
-----------------------	--------	--

A's Capital A/c.		13,500
------------------	--	--------

B's Capital A/c.		9,500
------------------	--	-------

Drawing of Goodwill Premium by the old partners

A's capital A/c	13,500	
-----------------	--------	--

B's capital A/c	9,000	
-----------------	-------	--

Bank A/c		22,500
----------	--	--------

Revaluation of Assets and Liabilities

At the time of admission of a new partner or retirement of existing partner, net assets of the firm are revalued to their fair value.

Accounting Treatment – Revaluation

1. For increase in assets value

Specific asset a/c Dr
Revaluation a/c Cr

2. For decrease in assets value

Revaluation a/c Dr
Specific asset a/c Cr

3. For increase in Liabilities value

Revaluation a/c Dr
Specific liabilities a/c Cr

4. For decrease in Liabilities value

Specific liabilities a/c Dr
Revaluation a/c Cr

5. For gain on revaluation

Revaluation a/c Dr
Old partners Capital A/c Cr (Old ratio)

OR

6. For loss on revaluation

Old Partners Capital A/c . Dr (Old ratio)
Revaluation A/c. Cr

Retirement of a Partner

Make adjustments in Capital Balance or Retiring Partner for:

1. Share in goodwill of the firm
2. Gain or loss on revaluation of net assets

Transfer capital balance of retiring partner to Loan (Liability) A/c.

Death of a Partner

Deceased partner's capital balance is transferred to Executor's Account along with the following balances:

- Share in profit/loss till the date of death
- Share in goodwill of the firm
- Interest on capital
- Drawings
- Interest on drawings
- Any other time to be specified; like "loan to or from the firm"

Final Accounts of Partnership Firm

1. Income Statement
2. Profit Distribution Statement
3. Balance Sheet

Chapter – 17 Company Financial Statements (Final Account)

Components of Financial Statements

Companies are governed by a law prevailing in the country.

Most of the countries have adopted IFRS, which requires companies to prepare following set of reports as final account:

1. Statement of Financial Position (Balance Sheet)
2. Statement of Profit or Loss and Other Comprehensive Income (Income Statement)
3. Statement of Changes in Equity
4. Statement of Cash Flows
5. Notes (Accounting Policies and Disclosures of Explanatory Working)

Statement of Financial Position

Assets

- Non Current Assets
- Current Assets

Liabilities

- Non Current Liabilities
- Current Liabilities

Owners' Equity

Current and Non Current Assets

Current Asset

- Held for trading
- Consumable in normal operating Cycle

- Recoverable in 12 months
- Cash & Cash Equivalents

Non-Current Asset

- Which are not current

Current Liability

- Held for trading
- Expected to be settled in normal operating cycle
- Payable in 12 months

Non-Current Liability

- Which are not current

Owners' Equity

Residual interest in assets of the entity after deducting its liabilities

It includes share capital and reserves

Format – SOFP

	<i>Rs.</i>	<i>Rs.</i>
RESOURCES		
Non-Current Assets		
Fixed Assets		
Tangible Assets – (IAS 16)	***	
Intangible Assets – (IAS 38)	***	***
Investment Properties – (IAS 40)		***
Long Term Financial Assets – (IFRS 9)		***
(Investments in Equity/Debt, Deposits, Prepayments, Loans & Receivables)		***
Total Non-Current Assets		***
Current Assets		
Inventories – (IAS 2)	***	
Accounts Receivables & Accruals – (IFRS 9)	***	
Short Term Investments & Prepayments – (IFRS 9)	***	
Cash and Bank Balances – (IFRS 9)	***	***
Current Liabilities		
Accounts Payable & Accruals – (IAS 39)	***	
Short Term Loans – (IAS 39)	***	
Current portion of lease liability – (IAS 17)	***	
Current portion of long term loans – (IFRS 9)	***	
Provisions against expected losses – (IAS 37)	***	
Provisions for current tax – (IAS 12)	***	
Bank Overdraft – (IFRS 9)	***	(***)
Working Capital		***
Capital Employed (Non-Current Assets + Working Capital)		***

Statement of Profit or Loss and Other Comprehensive Income

Incomes

1. Sales revenue (operating income)
2. Other incomes (non-operating incomes)

Expenses

1. Cost of sales
2. Administrative
3. Selling and marketing
4. Financial
5. Income Tax

Statement of OCI

OCI presents unrealized gains and losses during the year. These are further categorized into two:

1. Items that will not be reclassified to SOPL
2. Items that may be reclassified subsequently to SOPL

Format – SOPL

Company's Name		
Statement of Profit or Loss and Other Comprehensive Income (Income Statement)		
For the Year ended December 31, 20X9		
	Rs.	Rs.
Sales revenue – (IFRS 15)		***
Cost of goods sold – (IAS 2)		(***)
Gross profit		***
Operating expenses – (IAS 1, 16, 36, 38, 37, 40, IFRS 2)		
Administrative expense	***	
Selling & Marketing expenses	***	(***)
Profit from operations		***
Other income – (IAS 11, 16, 20, 40, IFRS 9, 15)		***
Financial expenses – (IAS 23, IFRS 9, 16)		(***)
Profit before tax		***
Income tax expense – (IAS 12)		(***)
Profit after tax		***

Format – OCI

Statement of Other Comprehensive Income For the Year ended December 31, 20X9

Profit after tax		***
<i>Items that will not be reclassified to Income Statement (Profit or Loss)</i>		
Gain on Revaluation of Property Plant & Equipment – (IAS 16)	***	
Re-measurement of Investments in Equity – (IFRS 9)	***	
Actuarial gain/loss on defined benefit plan – (IAS 19)	***	***
<i>Items that may be reclassified subsequently to Income Statement (Profit or Loss)</i>		
Foreign exchange gain/loss on translating foreign operations – (IAS 21)	***	
Cash flow Hedges – effective part – (IFRS 9)	***	***
Total Comprehensive Income		***

Statement of Changes in Equity

It presents reconciliation between the carrying amount at the beginning and end of the period.

It separately discloses changes in:

1. Profit or loss
2. Items of OCI
3. Transactions with owners

Format – SOCE

Company's Name Statement of changes in equity For the year ended December 31, 20X9

	Share Capital	Share Premium	Revaluation Reserve	Accumulated OCI*	Retained Profits	Total
Opening Balance	***	***	***	***	***	***
Fresh issue of shares	***	***				***
Revaluation of assets			***			***
Transferred upon disposal			(***)		***	
For the year (after tax)				***	***	***
Dividend paid during the year					(***)	(***)
Bonus Share	***	(***)			(***)	-
Totals	***	***	***	***	***	***

It is used to accumulate unrealized losses and unrealized gains with the exception of revaluation reserve under IAS 16

1. Presentation and classification should be properly taken care
2. Movement in Revaluation Reserves should be presented separately in the SOCE

Elone Musk

CHAPTER – 18 STATEMENT OF CASH FLOWS

Purpose of preparing Statement of Cash Flows

Statement of Cash Flows is an analytical statement that is prepared to analyze all cash receipts and cash payments during an accounting period.

Cash Receipts-----→ Cash In-flows

Cash Payments -----→Cash Out-flows

Difference between Cash Book, Receipt & Payment Account, and Statement of Cash Flows

Cash Book

is maintained chronologically for all receipts and payments

Receipt & Payment

is a report that is prepared at the end of a reporting period

Statement of Cash Flows

is an analysis of all receipts and payments into; Operating Activity, Investing Activity, Financing Activity

Format Statement of Cash Flows

Company Name		
Statement of Cash Flows		
For the year ended, 30th June 20X9		
<u>Operating Activity:</u>	Rs.	Rs.
Cash generated from operations (W-1)	***	
Cash received from Interest/Dividends (W-2)	***	
Cash paid for interest/financial charges (W-3)	(**)	
Cash paid for Income Tax (W-4)	(**)	***
<u>Investing Activity:</u>		
Cash paid for purchasing non-current assets (W-5)	(**)	
Cash from disposal of non-current assets (W-5)	***	***
<u>Financing Activity:</u>		
Cash received from owners as capital	***	
Cash paid to owners as distribution of profits	(**)	
Cash received as loan (short/long term)	***	
Cash paid for repayment of loan (short/long term)	(**)	
Cash paid for redemption of debt certificates	(**)	***
Net cash In-flow / Out-flow during the year		***
+ Opening Cash and Cash Equivalents (W-6)		***
Closing Cash and Cash Equivalents (W-6)		***

Working Notes Cash Generated from Operations

Company Name		
Statement of Cash Flows		
For the year ended, 30 th June 20X9		
<u>Operating Activity:</u>	Rs.	Rs.
Cash generated from operations (W-1)	***	
Cash received from Interest/Dividends (W-2)	***	
Cash paid for interest/financial charges (W-3)	(**)	
Cash paid for Income Tax (W-4)	(**)	***
<u>Investing Activity:</u>		
Cash paid for purchasing non-current assets (W-5)	(**)	
Cash from disposal of non-current assets (W-5)	***	***
<u>Financing Activity:</u>		
Cash received from owners as capital	***	
Cash paid to owners as distribution of profits	(**)	
Cash received as loan (short/long term)	***	
Cash paid for repayment of loan (short/long term)	(**)	
Cash paid for redemption of debt certificates	(**)	***
Net cash In-flow / Out-flow during the year		***
+ Opening Cash and Cash Equivalents (W-6)		***
Closing Cash and Cash Equivalents (W-6)		***

Cash Generated from Operations

W-1 (Direct Method)

Cash generated from operations:

Cash collected from Customers (W-1a)	***
Cash paid to suppliers (W-1b)	(**)
Cash paid to and on behalf of employees	(**)
Cash paid for other operating Expenses (W-1c)	(**)

W-1a

Customers' (Debtors) A/c.

	Rs.		Rs.
Opening Debtors	**	Cash from customers	?
Total Sales (Cash+ Credit)	**	Bad Debts	**
		Discount Allowed	**
		Closing Debtors	**
	**		**

W-1b**Suppliers' (Creditors) A/c.**

	Rs.		Rs.
Cash Paid to suppliers	?	Opening Creditors	**
Discount Received	**	Total Purchases w-1(b-i)	**
Closing Creditors	**		
	**		**

W-1(b-i)**Total Purchases****Rs.**

Cost of Goods Sold

+ Closing Stock

- Opening Stock

Total Purchases

W-1(c)

All operating Expenses

Rs.**Rs.**

Less:

Salaries & Wages

Depreciation

Amortization

Loss on Disposal of Asset

Bad Debts

Discount Allowed

()**

Cash paid for Operating Expenses

+Opening Due

-Closing Due

()**

-Opening Advance

()**

+Closing Advance

Cash paid for Operating Expenses

W-1 (Indirect Method)	Rs.	Rs.
Profit after tax		***
+ Income Tax Expense		***
Profit before Tax		***
+ Financial Changes (Interest Expense)		***
Other incomes:		
- Profit on disposal and Interest Income etc.		(**)
Profit from Operations		***
+ Non-Cash Operating Expenses (Non-Current Assets)		
Depreciation/Amortization	***	
Impairment	***	
Loss on disposal	***	***
+ Adjustment for non-cash Working capital items		
Stock	***	
Debtors	***	
Prepaid Operating Expenses	***	
Creditors	***	
Accrued operating Expenses	***	***
Cash Generated from operations		***

1. Direct method focuses on receipt and payment items only
 2. Indirect method works back to shunt out non-cash items that were considered while calculating profit for the year
- Take Care of non-cash movement in accounting heads
 - Issue of bonus shares
 - Revaluation of fixed assets
 - Interest and Dividend received can be Operating as well as Investing Activity
 - Interest and Dividend paid can be Operating as well as Financing Activity
 - Operating activity belongs to Income Statement
 - Investing activity belongs to Non-Current Assets
 - Financial activity belongs to Non-Current Liabilities and Owners' Equity
 - Change in all Current Assets and Current Liabilities should not be taken to Operating Activity
 - Cash & Cash Equivalent

- Loan receivable
- Loan payable
- Creditor against purchase of non-current assets
- Current portion of lease liability

For Short Notes

<https://vuonlinehelp.blogspot.com/p/notes.html>

Over YouTube cannel

https://www.youtube.com/results?search_query=orange+monkey+team

MGT101 YouTube Final term Short Video

<https://youtu.be/SBT0Dgiyx7M> Time 16.07

<https://youtu.be/PsiMZQeSYkk> Time 11.00

https://youtu.be/6ersmXhi7_8 Time 13.00